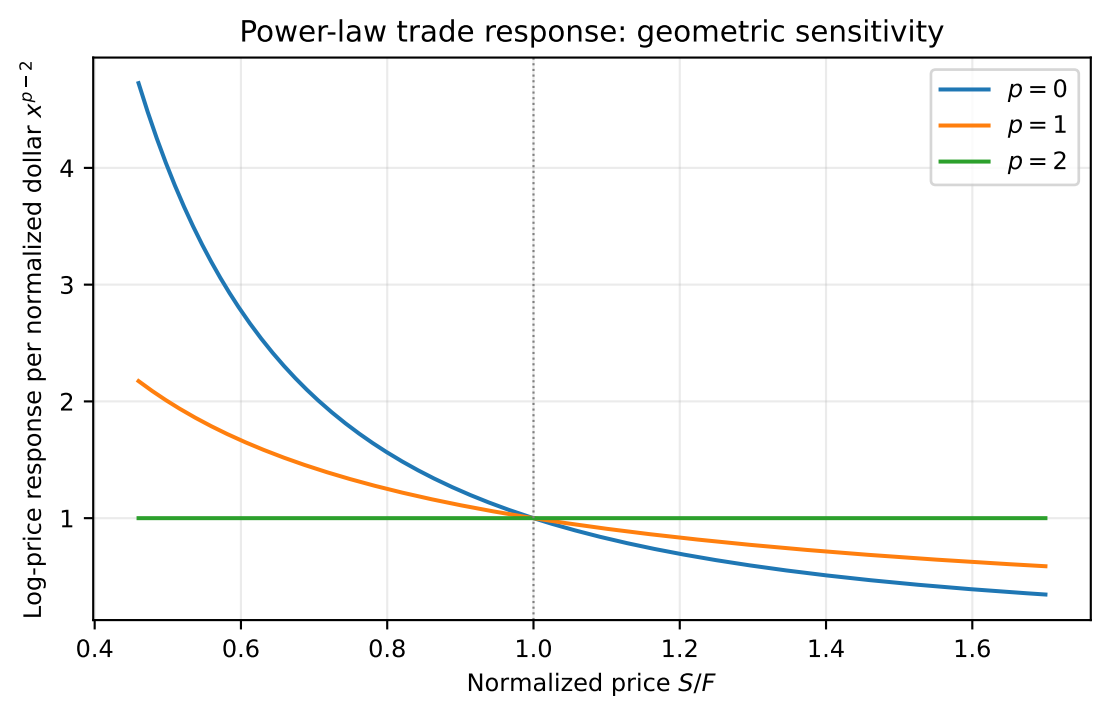
Power-law trade response: geometric sensitivity
Log-price response per normalized dollar x^{p-2}
Normalized price S/F
$p = 0$
$p = 1$
$p = 2$
1
2
3
4
0.4
0.6
0.8
1.0
1.2
1.4
1.6